

HOME AND GARDEN IN AUSTRALIA - ANALYSIS

Country Report | May 2023

EXECUTIVE SUMMARY

Home and garden in 2022: The big picture

In 2022, home and garden witnessed a strong slowdown in its growth rate in current value terms, and a decline in sales at constant 2022 prices. This was underpinned by the diminishing of the pandemic-induced spending splurge and the consumer appetite for creating a comfortable living environment. Macroeconomic uncertainties such as rising interest rates and inflation also acted as a dampener on growth, moderating consumer interest in home and garden products.

Nevertheless, in 2022 retail value sales of home and garden products were higher than the pre-pandemic level in both current terms and at constant 2022 prices. This was primarily due to factors such as evolving customer attitudes and preferences, modifications in work and study patterns, and changes in consumers' living environments. More specifically, the higher level of demand can be attributed to the adoption of hybrid work and study models, heightened awareness of environmental issues such as climate change, increased expectations of sustainable and eco-friendly practices amongst consumers, improvements in e-commerce platforms and services, and upgrades to living spaces.

2022 key trends

A broad trend observed in 2022 across most categories within home and garden was the push towards sustainable consumption and production practices. Australians are now becoming increasingly conscious of their consumption choices, and often trace the environmental impacts of the products they purchase. Consequently, products that are made with eco-friendly and natural materials are preferred across all home and garden categories. A case in point is Koala's new range of cushions, rugs, and throws, which is made of plastic bottles and certified responsible wool. Responsible Wool Standard is a certification for wool sellers that aims to improve the welfare of sheep and the land they graze on. Such new product launches have the potential to create ripples in the industry and inspire more manufacturers to invest in sustainable production practices.

Sustainability is also a critical consideration in gardening, encompassing environmental impact and health concerns. The growing interest in sustainable gardening practices is reflected in the increased popularity of organic farming and the grow-your-own trend, where gardeners grow their own food such as vegetables and fruits. Amplified by social media, this movement has been driven by health concerns related to the use of pesticides in industrial farming, which have been linked to a range of negative health impacts. In response, more people are seeking out organic and pesticide-free food options and turning to sustainable gardening practices that use natural methods to grow food and maintain healthy soil. Along with health concerns, there is also growing awareness of the environmental impacts of industrial agriculture, leading to a shift towards more sustainable practices such as permaculture.

Various specific trends positively impacted each category within home and garden in 2022. The rising DIY trend, alongside the shortage of tradespeople following the pandemic, increased consumers' interest in renovation projects and other DIY projects. This had a positive impact on home and garden, as Australians increasingly sought home improvement products such as hardware and power tools to carry out their DIY projects. Many Australians also took up gardening as a recreational activity, further complemented by the ongoing shift to remote work models. There was also a general appetite for improving the aesthetic appeal of homes and gardens, which pushed Australians to engage in various renovation activities. Premiumisation was a major trend impacting homewares in 2022, which saw the premium segment in cookware perform well even against a backdrop of increasing inflationary pressure. This was primarily because Australians were willing to spend more on cookware that was multifunctional and made of high-quality materials.

Competitive landscape

IKEA was the leading brand in home and garden in value terms in 2022, closely followed by Harvey Norman, Freedom, and Ryobi. However, there is strong diversity in the competitive landscape when it comes to the individual categories within home and garden.

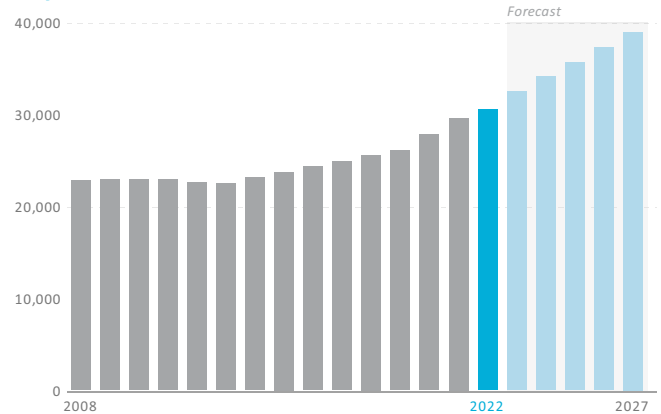
Ryobi remained the leading player in home improvement in 2022, primarily owing to its specialisation in power tools, which is one of the largest categories within home improvement. Ryobi has centred its product offerings around a wide range of power

Market Sizes

Sales of Home and Garden

Retail Value RSP - AUD million - Current - 2008-2027

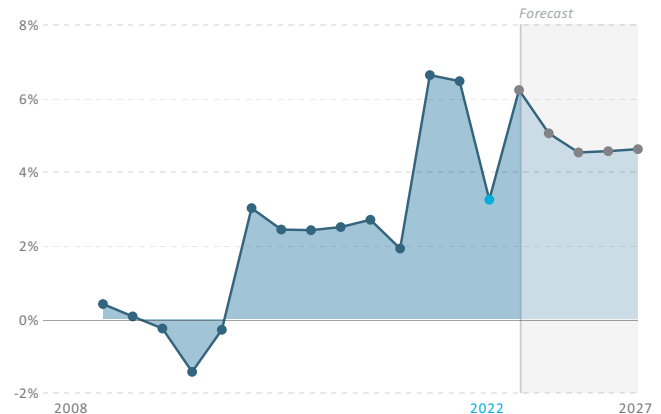
30,500



Sales Performance of Home and Garden

% Y-O-Y Retail Value RSP Growth 2008-2027

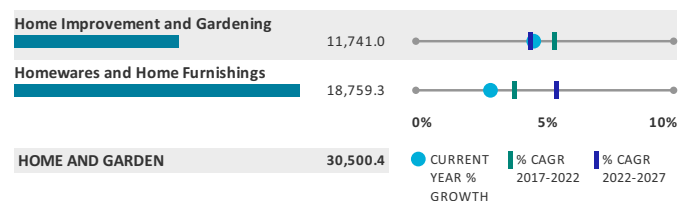
3.2%



Sales of Home and Garden by Category

Retail Value RSP - AUD million - Current - 2022

Growth Performance



tools that can be used for different occasions. In terms of share in home improvement, Ryobi was closely followed by Zenith, which offers hardware such as screws, and Dulux, which specialises in home paint, which is another major category within home improvement. Ryobi also remained the top player in gardening in 2022, due to its wide offering of gardening equipment.

When it comes to home furnishings, IKEA and Harvey Norman were the leading brands in value terms in 2022. IKEA witnessed a slight increase in its value share in 2022 relative to pre-pandemic levels, while despite seeing growth in 2022, Harvey Norman witnessed a slight decline over 2019-2022 overall. K-Mart led homewares in Australia in 2022, primarily due to its emphasis on affordable homewares and new product launches. Consequently, it witnessed a higher share in 2022 compared with the pre-pandemic level.

Retailing developments

A consistent retail trend observed across home and garden in 2022 was an uptick in e-commerce sales compared with the previous year. This was a continuation of the trend observed during the pandemic, when consumers largely spent time at home, and increasingly purchased through online channels. Even as the pandemic eased, consumers continued to migrate online, as Australians have taken a liking to the convenience offered by e-commerce, and other trends in Australia, such as DIY, have only complemented the channel’s rise. Many e-commerce platforms also contain tutorial videos and forums to discuss DIY projects, especially when it comes to gardening and home improvement. In addition, user reviews on online platforms enable consumers to make informed choices.

Another notable trend, which complements the rise in e-commerce, is the integration of modern technologies such as augmented reality (AR). AR has enabled online retailers to deliver more personalised experiences to consumers within the confines of their home. For instance, when it comes to purchasing home paint, if the customer takes a picture of their house and chooses a colour of paint they are considering, they can see how it fits within their own space. This enhances the purchasing experience, and gave a further boost to interest in e-commerce in Australia in 2022.

However, certain big-ticket items benefited from omnichannel distribution in 2022. This is primarily because consumers prefer to witness and feel certain products, such as sofas and flooring, in bricks-and-mortar stores, and then proceed to order these online through e-commerce platforms once they have made their decision.

What next for home and garden?

In the early forecast period, home and garden in Australia is expected to face challenges in terms of the impact of rising interest rates and cost inflation, which will limit growth rates. Many manufacturers have reported increases in average unit prices to offset rising cost inputs. Government incentives to build houses in rural areas have led to an increase in construction, but delays caused by the pandemic and rises in interest rates have contributed to a slowdown in the housing market. As a result, home and garden is expected to experience slow growth in demand, although the situation is likely to gradually improve over 2024-2027 as macroeconomic uncertainties ease.

Despite these challenges, the trend towards remote and hybrid working is leading people to spend more time at home, which is likely to result in an increase in demand for homewares and home furnishings. In addition, the low unemployment rate in Australia will contribute to continued consumer spending, but with a focus on value and cost-effectiveness, leading to a rise in demand for multifunctional products.

Therefore, home and garden in Australia will continue to be dynamic in nature, and will face rapid changes according to shifting consumer preferences. Specific trends such as premiumisation, sustainability, and DIY will be the focal points over the forecast period, as manufacturers cater to shifting consumer profiles in home and garden. When it comes to distribution, both offline and online will play pivotal roles in the industry. While retail sales are forecast to continue to fall through offline channels, bricks-and-mortar retail stores will continue to play a major role in distribution over the forecast period, primarily due to the nature of big-ticket items such as sofas and flooring, which traditionally warrant the physical presence of the consumer.

DISCLAIMER

Forecast closing date: 17 April 2023

Report closing date: 5 May 2023

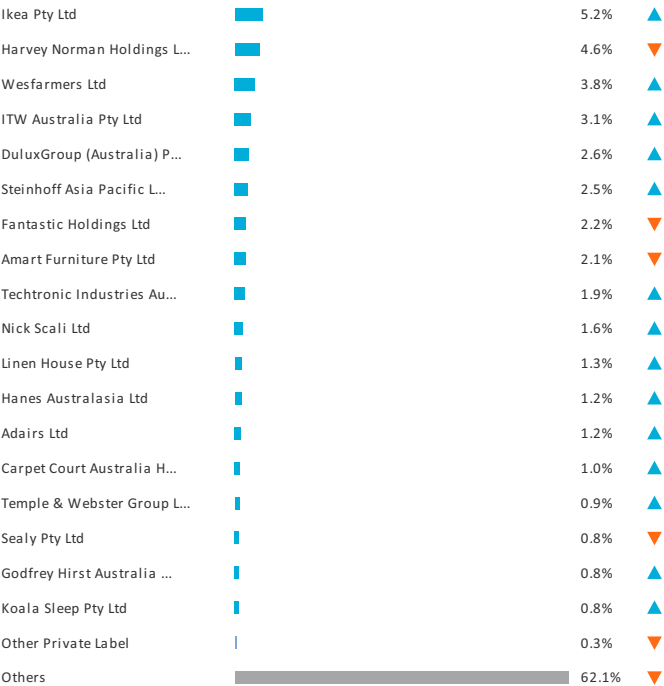
Analysis and data in this report give full consideration to consumer behaviour and market performance in 2022 and beyond as of the dates above. For the very latest insight on this industry and consumer behaviour, at both global and national level, readers can access strategic analysis and updates on www.euromonitor.com and via the Passport system, where new content is being added on a systematic basis.

SOURCES

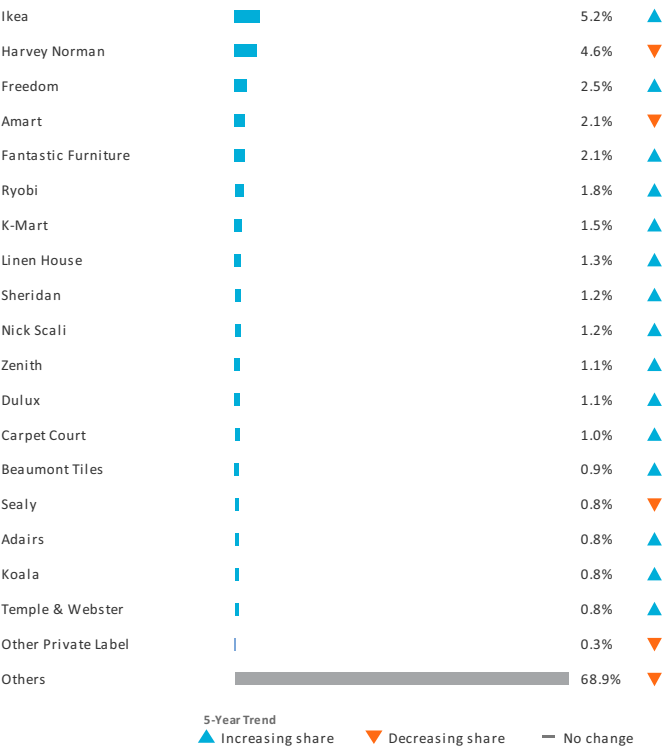
Sources used during the research included the following:

Competitive Landscape

Company Shares of Home and Garden
% Share (NBO) - Retail Value RSP - 2022



Brand Shares of Home and Garden
% Share (LBN) - Retail Value RSP - 2022



Summary 1 Research Sources

Official Sources	Australian Bureau of Statistics
	Carpet Institute of Australia
	Energy Ratings Industry
Trade Associations	Australian Paint Manufacturers Association
	Furniture Industry Association of Australia
	Housing Industry Association
	Lighting Council Australia
	Nursery & Garden Industry Australia
Trade Press	9news
	9Now
	AFR.com
	Business News Australia
	Channel News
	DigitalJournal
	DIY International
	Financial Review
	Inside Retail
	Mybusiness
	Ragtrader
	Retail World
	Sydney Morning Herald

Source: Euromonitor International